share from the beginning, and in the 1930s, the sugar industry was developed by Indians. Indian capitalist also had to struggle from the beginning against the power of British managing agencies and British banks. To enter a field of enterprise, Indian businessmen had to bend before British managing agencies dominating that field. In many cases even Indian-owned companies were controlled by foreign-owned or controlled managing agencies. Indians also found it difficult to get credit from banks most of which were dominated by British financiers. Even when they could get loans they had to pay high interest rates while foreigners could borrow on much easier terms. Of course, gradually Indians began to develop their own banks and insurance companies. In 1914, foreign banks held over 70 per cent of all bank deposits in India; by 1937, their share had decreased to 57 per cent.

British enterprises in India also took advantage of their close connection with British suppliers of machinery and equipment, shipping, insurance companies, marketing agencies, government officials and political leaders to maintain their dominant position in Indian economic life. Moreover, the government followed a conscious policy of favouring foreign capital as against Indian capital.

The railway policy of the government also discriminated against Indian enterprise; railway freight rates encouraged foreign imports at the cost of trade in domestic products. It was more difficult and costlier to distribute Indian goods than to distribute imported goods.

Another serious weakness of Indian industrial effort was the almost complete absence of heavy or capital goods industries, without which there can be no rapid and independent development of industries. India had no big plants to produce iron and steel, or to manufacture machinery. A few petty repair workshops represented engineering industries and a few iron and brass foundries represented metallurgical industries. The first steel in India was produced only in 1913. Thus India lacked such basic industries as steel, metallurgy, machine, chemical and oil. India also lagged behind in the development of electric power.